



COLLEGE ACCOUNTING (105)

STATE – 2020

Multiple Choice & Short Answer Section:

Multiple Choice (13 @ 2 points each) _____ (26 points)

Short Answer _____ (52 points)

Production Portion:

Problem 1: Inventory _____ (88 points)

Problem 2: Financial Statement _____ (50 points)

Problem 3: Closing Entries _____ (48 points)

TOTAL POINTS _____ ***(264 points)***

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation

No more than 90 minutes testing time

No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Unless otherwise instructed, round all answers to 2 decimal places.

Multiple Choice

Identify the letter of the choice that best completes the statement or answers the question.

- 1) B
- 2) C
- 3) A
- 4) C
- 5) A
- 6) B
- 7) A
- 8) B
- 9) B
- 10) C
- 11) D
- 12) C
- 13) A

Short Answer (52 Points)

Grader: Each answer is worth 2 points

Crookshanks purchased equipment on January 2, 2019 for \$36,000. The equipment is expected to remain in service for four years. At the end of the equipment's useful life, Crookshanks estimates that its residual value will be \$4,000.

Prepare a schedule of depreciation for each year using the double-declining balance method. Complete all shaded areas of the table below. Round to the nearest whole number.

Year	Depreciation Expense	Accumulated Depreciation	Net Book Value
2019	18,000	18,000	18,000
2020	9,000	27,000	9,000
2021	4,500	31,500	4,500
2022	500	32,000	4,000

- 1) If the equipment is sold on July 1, 2022 for \$4,000, Crookshanks will record a

Loss of \$250
Gain/Loss

- 2) Hermoine Corp signs a 120-day, \$20,000, 4.5% note on November 10, 2019.

- What is the interest expense for 2019? \$127.50
- What is the interest expense for 2020? \$172.50
- What is the maturity value? \$20,300
- What is the maturity date? March 10, 2020

- 3) Hagrid Company pays \$180,000 for a group purchase of land, building, and equipment. At the time of the acquisition, the land has a market value of \$95,000; the building \$57,000; and the equipment \$38,000.

Journalize the lump-sum purchase of the assets for a total cost of \$180,000. Hagrid Co. signs a note payable for this amount.

Grader: Each account and amount is worth 2 points

Date	Account	Debit	Credit
	Land	90,000	
	Building	54,000	
	Equipment	36,000	
	Note Payable		180,000

Problem 1 (88 Points)

During the month of June, Weasley Bros. purchased and sold merchandise on account as follows:

June 1	Beginning Inventory	25 units @ \$40 each
7	Purchase	20 units @ \$46.75 each
14	Sale	18 units
20	Sale	15 units

Prepare a perpetual inventory record, using the perpetual weighted average inventory costing method, and determine the company's cost of goods sold and ending merchandise inventory.

Grader: Each answer box is worth 2 points. No points are given for the date.

Date	Purchases			Cost of Goods Sold			Inventory		
	Quant	Unit Cost	Total Cost	Quant	Unit Cost	Total Cost	Quant	Unit Cost	Total Cost
June 1							25	\$40	\$1000
7	20	\$46.75	\$935				45	43	1935
14				18	\$43	\$774	27	43	1161
20				15	43	645	12	43	516
Total	20		\$935	33		\$1419	12	\$43	\$516

Grader: Each line of the journal entry is worth 2 points. No points are given for the date.

Prepare the appropriate journal entry for the purchase of inventory on June 7th on account from Seamus Finnegan.

Date	Account	Debit	Credit
June 7	Inventory	935	
	Accounts Payable		935

Prepare the appropriate journal entry for the sale of inventory on June 14th to Lee Jordan. Assume all units are sold for \$100 and all sales are on account.

Date	Account	Debit	Credit
June 14	Accounts Receivable	1800	
	Sales Revenue		1800
	Cost of Goods Sold	774	
	Inventory		774

On June 19th the Weasley Bros. receive payment from Lee Jordan (invoice dated June 14th)

Date	Account	Debit	Credit
June 19	Cash	1800	
	Accounts Receivable		1800

Prepare the appropriate journal entry for the sale of inventory on June 20th to Stan Shunpike. Assume all units are sold for \$100 and all sales are on account.

Date	Account	Debit	Credit
June 20	Accounts Receivable	1500	
	Sales Revenue		1500
	Cost of Goods Sold	645	
	Inventory		645

The Weasley Bros. pays the invoice due to Seamus Finnegan on June 21st.

Date	Account	Debit	Credit
June 21	Accounts Payable	935	
	Cash		935

On July 9th the Weasley Bros. receive payment from Stan Shunpike (invoice dated June 25th)

Date	Account	Debit	Credit
July 9	Cash	1500	
	Accounts Receivable		1500

Problem 2 (50 Points)*Grader: Each answer is worth 5 points*

The following accounts and balances were pulled from the Adjusted Trial Balance of Gryffindor Co. Calculate the following amounts:

Accounts Payable	\$18,300
Accounts Receivable	17,200
Accumulated Depreciation – Equipment	20,000
Bonds Payable	105,000
Cash	8,000
Common Stock	35,000
Cost of Goods Sold	633,300
Delivery Expense	6,200
Depreciation Expense	13,500
Dividends	12,000
Equipment	57,000
Gain on Sale of Equipment	2,000
Goodwill	88,000
Insurance Expense	9,000
Interest Expense	5,000
Inventory	36,200
Land	121,500
Notes Payable (due in 2026)	47,500
Office Supplies	6,000
Premium on Bonds Payable	7,000
Prepaid Insurance	6,000
Rent Expense	29,000
Retained Earnings, January 1	14,200
Salaries Expense	110,000
Sales Revenue	914,000
Unearned Revenue	3,500
Utilities Expense	10,600

Gross Profit	\$280,700	Total Intangible Assets	\$88,000
Operating Income	\$102,400	Total Current Liabilities	\$21,800
Net Income	\$99,400	Total Long-term Liabilities	\$159,500
Total Current Assets	\$73,400	Total Stockholders' Equity	\$138,600
Total Plant Assets	\$158,500	Retained Earnings Balance, Dec. 31	\$103,600

Problem 3 (48 Points)

Grader: Each line of the journal entry is worth 3 points. No points given for date.

Using the Adjusted Trial Balance for Gryffindor Co., prepare the closing entries on December 31.

General Journal			
Date	Account	Debit	Credit
Dec. 31	Sales Revenue	914,000	
	Gain on sale of equipment	2,000	
	Income Summary		916,000
	Income Summary	816,600	
	Cost of Goods Sold		633,300
	Delivery Expense		6,200
	Depreciation Expense		13,500
	Insurance Expense		9,000
	Rent Expense		29,000
	Salaries Expense		110,000
	Utilities Expense		10,600
	Interest Expense		5,000
	Income Summary	99,400	
	Retained Earnings		99,400
	Retained Earnings	12,000	
	Dividends		12,000